

Questions

1. Define social welfare. Critically explain the following criteria as a measure of social welfare:
 - i) Growth of GNP
 - ii) Bentham's Criteria
 - iii) Cardinalist approach.
2. 'Pareto optimality is a necessary but not sufficient condition for social welfare maximization' – justify the statement considering a 2 x 2 x 2 model.
3. Explain the underlying assumption about the marginal utility of money for being the Hicks –Kaldor compensation be correct?
4. Define social welfare function. How does it could be used a criteria to measure social welfare? Explain.
5. What are the major assumptions of social welfare maximization in a 2 x 2 x 2 model.
6. Derive the grand utility possibility frontier and determine the 'point of bliss'.
7. Critically explain the three key things that Pigou dealt with in analyzing social welfare.
8. Does perfect competition ensures welfare maximization? Examine.
9. Graphically explain the problems of existence, uniqueness and stability in connection to general equilibrium.
10. Define consumption externality. Explain by Bandwagon effect and snob effect.
11. Does this externality affect the general equilibrium solution in a 2 x 2 x 2 model?
12. Graphically explain how an external shock in the product market affects the factor market and the mechanism through which equilibrium is restored in both market.
13. Explain the production equilibrium /consumption equilibrium / simultaneous equilibrium in a simple general equilibrium model through Edgeworth box diagram.
14. Define general equilibrium. In what respect it differ from the partial equilibrium. Examine with example.

15. Present a $2 \times 2 \times 2$ Walrasian system. Does the general equilibrium solution exist in such model?

Explain.

16. What are the assumptions of a $2 \times 2 \times 2$ model? How does general equilibrium is reached in such model?

17. Show that $MRPT_{x,y} = MC_x/MC_y$.